CHIEF INVESTMENT OFFICE

Capital Market Outlook

April 6, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*AI, Productivity, and R*:* Productivity is the ultimate driver of living standards and economic strength. The question is, will Artificial Intelligence (AI)-related productivity growth turn out to be too much of a good thing, damaging the economy through large negative effects on employment? Also, Federal Reserve (Fed) officials have suggested that stronger AI-driven productivity could push the neutral short-term interest rate (r*) higher, potentially limiting the central bank's ability to ease policy even if the labor market weakened—i.e., higher unemployment would also coincide with tighter financial conditions. In our view, AI may raise the economic engine's speed capacity, but demand will likely shape how fast the machine will go. Thus, aggregate productivity growth is more likely to remain closer to its long-term average than turn extreme and dystopian, contained by adoption frictions and anchored by demand dynamics. Absent stronger demand, AI's impact is more likely to reinforce disinflationary forces than to drive structurally higher interest rates, in our view.

Market View—*The Key Exception to U.S. Energy Independence: Critical Minerals:* U.S. Equities have outperformed their international counterparts since the start of the war. This has largely been attributed to America's energy independence. And while that's good news for U.S. investors, the latest supply chain disruption should also serve as a reminder of where the U.S. is still far from independent: critical minerals. The reality is, China maintains a chokehold on the minerals required to power U.S. grid infrastructure, robotics and AI, renewables, defense systems, and more. The U.S., meanwhile, is still 100% net import reliant for 13 critical minerals, basically unchanged from the start of the decade.

With these minerals increasingly a matter of U.S. national security and economic competitiveness, progress is gaining momentum. Cross-country partnerships have emerged as corporations globally grow wary of China's weaponization of supply chains. Helping matters domestically: public private sector collaboration with the U.S. government taking an active role as a provider of capital. We continue to be bullish on the "picks and shovels" companies that stand to benefit from higher capital expenditures (capex) spend.

Thought of the Week—*The U.S. Migration Shock that Wasn't*—U.S. Demographics Remain a Favorable Outlier: First, the bad news: Net immigration in the U.S. fell sharply last year, down nearly 54% and contributing to population growth of just 0.5% in 2025, according to the latest figures from the U.S. Census Bureau. Now, the good news: Last year's net 1.3 million addition of immigrants remained well ahead of the past 35-year average of 964,000. Missing from the sky-is-falling narrative is the fact that migrant flows were artificially inflated over the 2022 to 2024 period due to loose immigration policies, with net immigration now reverting to the mean. Add to –the fact that there were over 500,000 more births than deaths, leaving the U.S. a rare breed among developed nations with positive population growth. While much of Europe, Japan, South Korea and China face aging and shrinking populations, the U.S. continues to add people, supporting labor force growth, rising consumption, innovation capacity, fiscal sustainability, and stronger long-run economic growth and market returns, in our view.

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Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, Emerging Markets and selective sector shifts.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

MACRO STRATEGY

AI, Productivity, and R*

Chief Investment Office, *Macro Strategy Team*

Productivity sits at the heart of economic growth and progress, determining how quickly living standards (as measured by real GDP per capita) can rise. Strong productivity helps support fiscal sustainability, boosts corporate earnings and increases competitiveness. Encouragingly, U.S. productivity has surprised to the upside since the pandemic, averaging 2.2% per year compared to a historically low 1.1% pace during the 2011 to 2019 post-Great Financial Crisis (GFC) period, and 1.9% over the 50 years between 1970 and 2019, according to the Bureau of Labor Statistics. Even seemingly modest differences compound meaningfully—a 1.1% versus 2% average pace would result in 39% versus 81% cumulative growth in output per capita over a 30-year horizon, for example.

The recent productivity resurgence has coincided with rapid advances in AI, raising concerns about "too much of a good thing"—productivity becoming so strong as to vastly displace labor and result in a dystopian world. What's more, higher productivity can raise the expected return on capital, stimulating investment and putting upward pressure on equilibrium, or neutral, short-term interest rates (r*).

Potentially untethered AI productivity gains could therefore not only result in higher structural unemployment but also a higher-interest-rate environment. Indeed, in recent speeches, Fed officials have noted the possibility that stronger AI-driven productivity may limit the extent to which monetary policy can respond to any related increase in unemployment, as addressing structural unemployment typically requires policies that are not in its "toolkit" (such as labor retraining, taxation, fiscal support).

In our view, while AI represents a powerful supply side force that will no doubt transform the economy, its impact on economy-wide productivity is still likely to be shaped, and tempered, by employment and labor-income dynamics, demand conditions and other constraints, as discussed below. While uncertainty remains high, several considerations suggest a more balanced likely outcome than the extreme scenarios envision.

Productivity is not just technology- or process-dependent but also demand-dependent. Ultimately, it is demand that shapes how much technical productivity is "realized" at the economy-wide level. End-demand is required to validate returns on capital and maintain a productivity-investment-innovation cycle, reinforced by sustained production and learning by doing. Technical capability without sufficient end-market demand tends to break this feedback loop, causing productivity to eventually lose momentum. With consumer spending accounting for about 70% of the economy, household income and spending will therefore continue to anchor productivity growth, in our view.

The pre- and post-pandemic experience offers a useful example. The post-GFC decade of unusually low productivity occurred amid insufficient demand, low inflation and depressed interest rates, while the recent productivity rebound occurred alongside the pandemic stimulus-induced demand revival. The point is that demand and productivity tend to move together (Exhibit 1A). Just as weak demand was associated with historically low productivity from 2010 to 2019, extreme AI-led productivity growth is unlikely to be sustained absent broad and recurring income and demand—it would be self-defeating. A more likely outcome is therefore a gradual adjustment, with more moderate productivity gains than extreme scenarios imply, new job creation, and productivity-related boosts to purchasing power sustaining the feedback loop.

According to NBER research,[1] most current occupations emerged after 1940 alongside technological progress through "creative destruction." Recent decades have seen stronger labor-displacing and weaker labor-augmenting technology effects. As a result, since 1980, labor demand has polarized toward high- and low-wage jobs, with middle-skill roles reduced by automation. Combined with globalization effects, these shifts have no doubt contributed to softening employment and consumer spending growth, with greater reliance on debt and fiscal support.

This polarization is reflected in recent spending patterns in a K-shaped economy and is likely to be amplified by AI given its capabilities. While AI is likely to create new roles and enhance productivity, its ability to automate cognitive and middle-skill tasks suggests a further decline

Investment Implications

Despite sustained AI investment, aggregate demand may remain constrained by downward pressure on the labor share of income and uneven AI benefits. This suggests a focus on demand visibility and pricing power. With only moderate growth, return dispersion is likely to remain elevated, favoring quality and selectivity.

[1] National Bureau of Economic Research (NBER), Working Papers, August 2022, New Frontiers: The Origins and Content of New Work, 1940–2018.

in the labor share of income, further weighing on trend demand growth and interest rates (Exhibit 1B). Excess supply would undermine aggregate productivity growth over time.

This pattern helps explain why, despite rapid technological progress over the past 50 years, the U.S. could not sustain productivity growth much above 2.0% for extended periods. Slowing population growth, shrinking middle-income jobs and rising inequality lowered trend demand growth, which in turn restrained realized productivity. Recurring macroeconomic shocks also short-circuited the demand-investment-production-productivity loop. Without sustained demand, productivity gains occurred in bursts, reverting to a long-run average largely shaped by structural consumer demand underpinnings—including a shrinking middle class and rising demand for services, many of which increase productivity at a slower pace.

Other constraints (energy, infrastructure, aging population) have also limited long-term productivity growth. According to research, various real-world frictions are also likely to temper AI productivity gains: energy constraints; infrastructure bottlenecks; workflow redesign challenges; regulatory/risk management requirements; cybersecurity risks; skilled labor shortages; information overload; cognitive strain; and costs of finding and correcting subtle but high-impact errors.

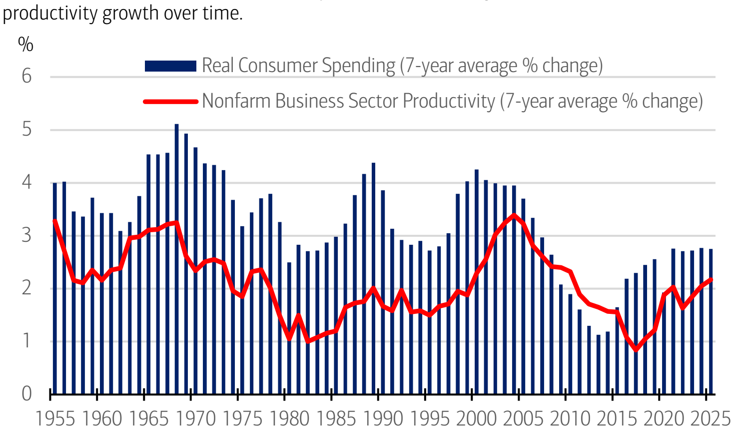
While estimates vary widely, economists generally expect AI to add roughly 0.4 percentage points to annual productivity growth over the next decade, far from extreme scenarios. Sustained gains of up to 2.5% would still be a feat given aging demographics, fiscal constraints and powerful compounding effects on living standards (assuming productivity benefits are shared more broadly across labor and capital). This outcome would also be more aligned with the historical experience, making it easier for the economy to absorb.

In our view, end-demand dynamics are also likely to keep r* in check. Stronger productivity can lift r* by raising expected returns on capital and stimulating investment but only if the increase in investment demand outweighs any rise in economywide savings. Higher unemployment, income polarization and weaker consumption would boost saving and dampen upward pressure on real rates, all else equal (Exhibit 1B). Lagging demand would also create excess supply, disinflation and higher unemployment, challenging the view that AI-driven productivity would necessarily lift the equilibrium rate. A "high productivity, high r*" regime will likely still require resilient labor markets, sustained credit demand and sufficiently strong consumption. While some policymakers highlight upside risks to r*, current policy projections and market pricing do not point to a material rise in equilibrium rates over the foreseeable future.

Interest rates and inflation are shaped by both the strength of economic growth and the balance between demand and supply, not by productivity alone. That's why we've seen various combinations: low productivity with high inflation and interest rates (late-1970s to early 1980s); higher productivity with low inflation but relatively high interest rates (late 1990s technology boom); and low productivity with low inflation and low rates (2010 to 2019). The ultimate determinant for inflation is money and credit growth relative to real output, as the pandemic inflation experience made clear. Absent stronger demand support, AI's impact is more likely to reinforce disinflationary forces than to drive structurally higher interest rates.

Exhibit 1: Aging Demographics, Jobs and Income Growth Have Shaped Productivity and Interest Rates Over Time.

A) With a 70% share of the U.S. economy, consumer spending has tracked and anchored productivity growth over time.



B) Decline in the labor share of income has contributed to lower real rates.

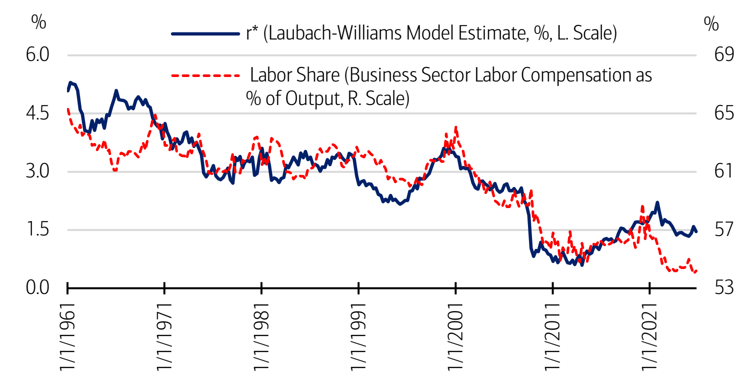


Exhibit 1A) Sources: Bureau of Economic Analysis/Haver Analytics. Data as of March 29, 2026. Exhibit 1B) Sources: Federal Reserve Bank of New York; Bureau of Economic Analysis/Haver Analytics. Data as of March 31, 2026.

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MARKET VIEW

The Key Exception to U.S. Energy Independence: Critical Minerals

Ariana Chiu, *Assistant Vice President and Investment Strategist*

U.S. Equities have outperformed their international counterparts since the start of the Middle East conflict. This has largely been attributed to America's energy independence—that is, that as a net exporter of oil and natural gas, the U.S. is more insulated from the latest disruption to the Strait of Hormuz than are its peers in Europe and Asia.

While the above is good news for U.S. investors, the latest supply chain disruption should also serve as a reminder of where the U.S. is still far from independent: critical minerals. Whereas "wildcat" drillers unlocked vast domestic oil and natural gas reserves in the late 2000s and early 2010s, thereby reducing America's import reliance (Exhibit 2A) and paving the way for the U.S. to emerge as one of the world's leading energy producers, the same cannot be said of critical minerals. Rather, China continues to maintain a chokehold on the minerals required to power U.S. grid infrastructure, robotics and AI, renewables, defense systems, and more. How the U.S. addresses these supply chain vulnerabilities in the coming years will likely have major implications for the economy and corporate profits.

Taking Stock of America's Critical Mineral Dependence. Nothing, not memory chips or grid transformers or AI data centers or F-35 fighter jets, can exist without critical minerals. Yet for how essential these minerals are to wars, the AI race and U.S. infrastructure, it's hard to overestimate how little control the U.S. has over them.

In many cases, the U.S. has the geological resources and capacity to mine, not to mention its allies like Australia and Canada, which remain among the most mineral-rich and adept at mining in the world. But it's what comes after—i.e., "midstream" chemical conversion, separation, purification, refinement, etc.—where U.S. and global supply chains are inextricably linked to and dependent on China. For 19 out of 20 minerals essential to electrification, for example, China is the #1 refiner, with an average market share of 70% (Exhibit 2B).

These dependencies are decades in the making. China has flooded the market over the years, leaving Western competitors unprofitable and economically unviable. It's therefore unsurprising that U.S. mineral dependencies haven't changed much in recent years. According to the latest U.S. Geological Survey's 2026 Mineral Commodities Summary, the U.S. is still 100% net import-reliant for 13 critical minerals, basically unchanged from 14 at the start of the decade. For another 20 minerals, including rare earth elements (REEs), the U.S. relies on imports for more than half of its apparent consumption. In areas such as gallium (chips), graphite (electric vehicles batteries) and tantalum (electronics/aerospace and defense), the U.S. has been 100% net import-reliant for the last 20 years or more.

In the meantime, China's influence has only grown. Take rare earth-powered permanent magnets, a critical input in the cars we drive, the data centers we build, and the defense systems deployed around the world. China's share of global production went from around 50% two decades ago to 94% today[2]—a fact that featured prominently in last year's tit-for-tat trade spat. Indeed, China's ability to place export restrictions on heavy REEs, thus endangering the U.S. auto and defense industries, proved the most valuable bargaining chip in U.S.–China trade negotiations. The temporary trade truce between the two largest economies in the world doesn't change the fact that the U.S. is systemically critical mineral-dependent, not independent.

The Future is Public-Private, Plural and AI. With mining increasingly an issue of national security, not to mention U.S. economic competitiveness, deepening domestic refining capabilities will be a bipartisan priority for years to come, in our view. Progress has been gradual but is now gaining momentum. At the heart of it is this: public-private sector collaboration with the U.S. government taking an active role as a provider of capital. That said, whether semiconductors, satellites or the iPhone, there's plenty of precedent for government investment shaping new industries and technologies.

Investment Implications

While U.S. mineral dependencies persist, we wouldn't underestimate the ability of public-private sector collaboration to drive innovation in the U.S., particularly as AI and machine learning create opportunities to streamline research and discovery. We upgraded Materials earlier this year on improved pricing and demand for commodities. Long-term tailwinds, whether from AI, aging infrastructure, or the rearmament of global defense bases, underpin our overweight to the Industrials sector.

[2] International Energy Agency (IEA).

With Uncle Sam's support, companies are expanding U.S.-based refining capacity of lithium, nickel and REEs. In some cases, particularly for REEs, the government has taken stake in mining and processing companies with the explicit goal to do what China does best, i.e., vertically integrate across mining, separation/processing and magnet production. Stockpiling has also been proposed as a method to defend against supply chain disruptions, with "Project Vault" announced this February being the largest public investment in critical minerals since World War II, according to Center for Strategic and International Studies (CSIS).

It's not just the U.S. Japan's electronics companies, Germany's auto industry, Canada's manufacturing firms—corporations around the world are all too familiar with China's weaponization of its grip on mineral supply chains.

As a result, cross-country partnerships to secure these minerals have expanded, as have efforts to collectively address the volatility of critical mineral prices, long vulnerable to market manipulation via export dumping and unfair trade practices. Just over the last year, the U.S. has signed bilateral frameworks with Australia, Indonesia, Japan, Malaysia and others, while plural partnerships like the recent Forum on Resource Geostrategic Engagement (FORGE) could be more effective in setting price floors for certain minerals.

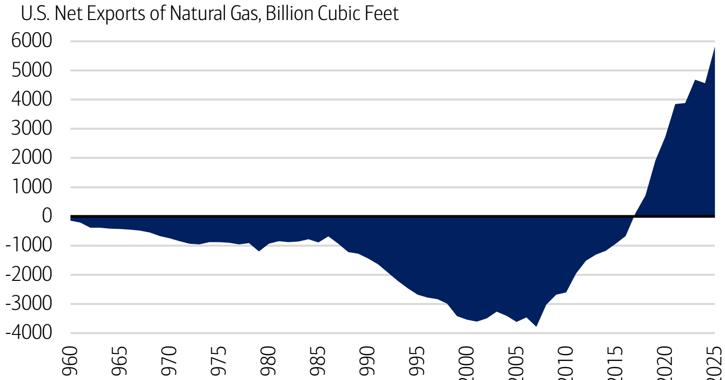
Finally, and as with other industries, AI and machine learning will play a role. Think more efficient and effective exploration, new separation techniques, discovery of alternative materials and shorter/streamlined permitting timelines—all of which help the U.S. move one step closer to a true "decoupling" of mineral supply chains from China. AI will prove even more important against a backdrop of a declining U.S. mining workforce. More than half of the U.S. mining workforce is expected to retire by 2029, leaving specialized knowledge in metallurgy, chemistry and engineering already in a structural deficit.

Bottom Line. Between geopolitical hotspots globally, aging infrastructure, and the revolution in AI and robotics, there's no debating that demand for critical minerals is headed higher. The latest war in the Middle East will likely only add to demand to rearm and rebuild global defense and industrial bases.

But unlike oil and natural gas, the U.S. isn't independent when it comes to critical minerals. Far from it. We expect protectionism around these resources and efforts to reshore supply chains to be key themes in the years ahead, not just in the U.S. but globally. For investors, the "picks and shovels" companies behind the equipment and engineering of greater domestic production and refinement capabilities could stand to benefit from higher capex and demand for mining equipment and processing facilities. Meanwhile, the dynamic partnership between the public and private sectors and its ability to drive innovation remains a fundamental reason to maintain the U.S. at the core of portfolios.

Exhibit 2: One Big Caveat to America's Energy Independence.

A) U.S. is Energy-Independent, Yes...



B) ...But When it Comes to Critical Minerals, China Rules..

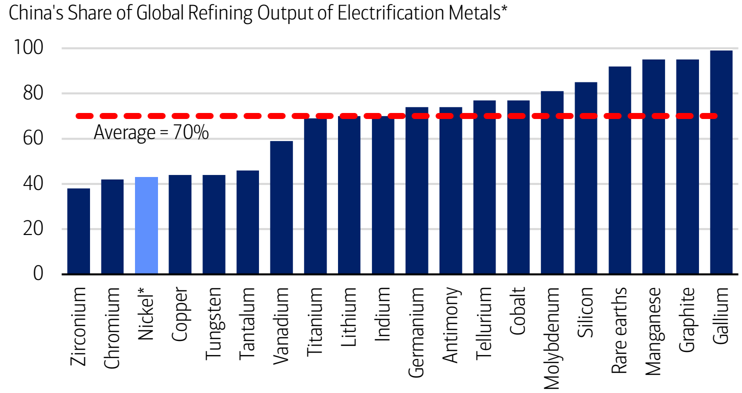


Exhibit 2A) Source: Energy Information Administration. Data through 2025, as of March 2026. Exhibit 2B) *Nickel is primarily refined in Indonesia. Source: IEA; Rhodium Group. Data as of March 2026.

The U.S. Migration Shock that Wasn't—U.S. Demographics Remain a Favorable Outlier

Joseph P. Quinlan, ***Managing Director and Head of CIO Market Strategy***

First the bad news: Net immigration in the U.S. fell sharply last year, by nearly 54%, with immigration adding 1.3 million people to the U.S. population in 2025 versus 2.7 million in 2024. That is according to the latest figures from the U.S. Census Bureau (Exhibit 3A). The downshift contributed to U.S. population growth of just 0.5% in 2025, to 341.8 million people.

Now the good news—and the news that contradicts the prevailing the sky-is-falling-narrative about U.S. immigration: Last year's net addition of immigrants (1.3 million) was well ahead of the past 35-year average of just 964,000, as shown in Exhibit 3B. Missing from the gloomy narrative is the fact that migrant flows were artificially inflated over the 2022 to 2024 period due to the loose immigration policies of the Biden administration. In a sense, net immigration flows are reverting to the mean.

On top of that, add in the fact that there were over 500,000 more births than deaths last year in the U.S., and America emerges as a rare breed among the developed nations: It continues to post positive population growth. That contrasts to flat or falling population growth rates over much of Europe, Japan, South Korea and even China. The upshot: While much of the world is aging, shrinking or both, the U.S. remains one of the only large, advanced economies still adding people.

And adding people matters. Favorable population dynamics shape the most fundamental drivers of economic growth—think labor force growth, rising consumption, more innovation capacity and greater fiscal sustainability. Conversely, aging and shrinking populations create headwinds like labor shortages, slowing growth and fiscal pressures as governments tend to an expanding elderly population.

The bottom line: While not immune to the demographics of aging, the U.S. is in far better shape than the rest of the world, in our view. Our population continues to expand. Looking forward, we believe that the U.S.—even with modest population growth, combined with innovation-led productivity gains—can sustain stronger economic growth relative to its peers and solid market returns over the long run.

Investment Implications

Add modest population growth and innovation-led productivity to the list of reasons why we favor the U.S. over the rest of the world in portfolios. Though immigration has normalized, the U.S. is better positioned relatively speaking to sustain elevated consumption, economic growth and market returns longer term.

Exhibit 3: Setting the Record Straight on U.S. Migration.

A) Net Migration: Down but Reverting to Mean.

B) A Little Perspective is Needed..

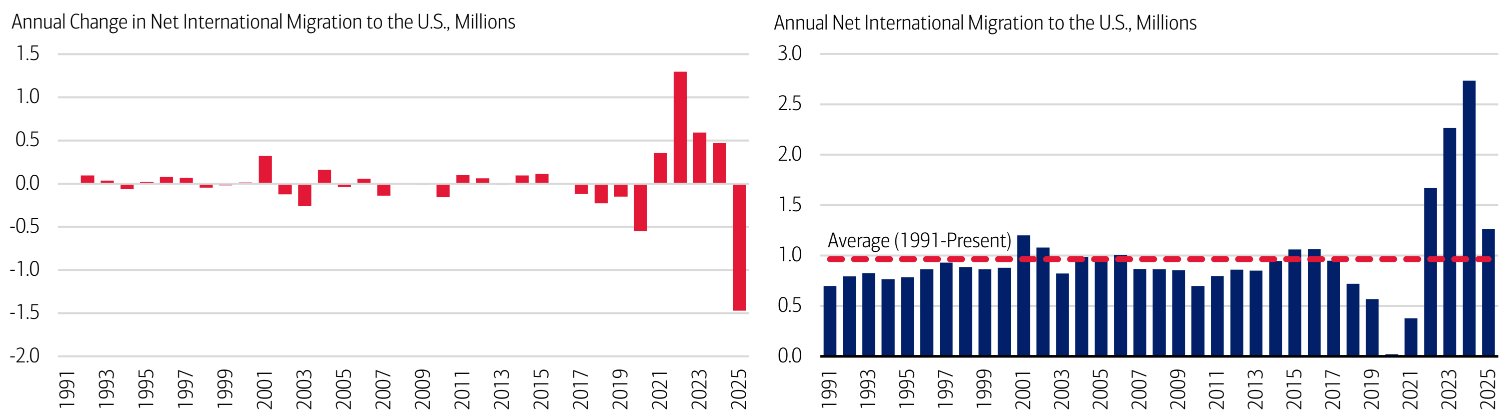


Exhibit 3A) Source: U.S. Census Bureau. Data as of March 2026. Exhibit 3B) Source: U.S. Census Bureau. Data as of March 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	46,504.67	3.0	0.4	-2.8
NASDAQ	21,879.18	4.5	1.3	-5.7
S&P 500	6,582.69	3.4	0.8	-3.5
S&P 400 Mid Cap	3,408.16	3.0	1.0	3.5
Russell 2000	2,530.04	3.3	1.4	2.3
MSCI World	4,316.09	3.3	1.4	-2.3
MSCI EAFE	2,919.35	3.0	2.9	1.6
MSCI Emerging Markets	1,440.95	0.3	3.2	3.0

Fixed Income†

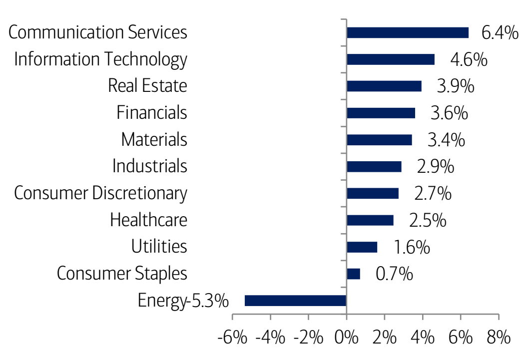
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.51	0.70	0.00	-0.21
Agencies	4.25	0.31	-0.08	0.14
Municipals	3.74	0.73	0.32	0.15
U.S. Investment-Grade Credit	4.59	0.75	0.00	-0.04
International	5.14	1.10	0.19	-0.35
High Yield	7.27	1.21	0.40	-0.10
90 Day Yield	3.69	3.68	3.67	3.63
2 Year Yield	3.84	3.91	3.79	3.47
10 Year Yield	4.34	4.43	4.32	4.17
30 Year Yield	4.91	4.96	4.91	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	348.80	2.3	1.5	26.3
WTI Crude $/Barrel††	111.54	11.9	10.0	94.3
Gold Spot $/Ounce††	4676.76	4.1	0.2	8.3

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.15	1.16	1.17
USD/JPY	159.67	160.31	158.72	156.71
USD/CNH	6.89	6.92	6.89	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/30/2026 to 4/2/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 4/2/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 3/27/2026)

	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.5	3.4
Real U.S. GDP (% q/q annualized)	3.3	3.0	2.0	2.0	2.7	2.1
CPI inflation (% y/y)	2.8	4.1	3.6	3.3	3.4	2.2
Core CPI inflation (% y/y**)	2.5	2.8	2.6	2.6	2.6	2.4
Unemployment rate (%)	4.4	4.5	4.4	4.3	4.4	4.3
Fed funds rate, end period (%)	3.63	3.38	3.13	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of April 2, 2026.
**Core CPI inflation as of March 27, 2026.
Sources: BofA Global Research; GWIM ISC as of April 2, 2026.

Asset Class Weightings (as of 3/4/2026)

	CIO View				
Asset Class	Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Growth				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral		Overweight
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Information Technology			●		
Healthcare			●		
Materials		►	●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●	◄		
Energy	●				

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 23, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*AI and Creative Destruction:* Artificial Intelligence (AI) I is the latest manifestation of the process by which technological progress transforms the economy. In free markets where creative destruction is given leeway to take advantage of the expanding frontiers of knowledge, it is especially disruptive. Because this process is accelerating, there is increasing uncertainty about the longevity of the businesses in the equity market with the software industry in the bullseye of this issue most recently. Diversification can be even more helpful than usual in this environment as is indexation to indexes that drop the failed companies from creative destruction while incorporating the new technology leaders into their index as the S&P 500 does.

Market View—*China's Five-Year Plan: Local Stability Amid Global Uncertainty:* Throughout the conflict-driven volatility of recent weeks, China's equity market has been among the most stable of the major global benchmarks. Despite being the largest net importer of energy by volume, China has remained more insulated from the turbulence in oil and gas markets than most other economies in Asia. Reinforced by the economic direction outlined in its 15th Five-Year Plan, we expect to see China's local market remain relatively insulated from both internal and external headwinds. And even as its headline rate of economic growth decelerates further, China's pace of development and adoption in new technologies should remain high.

Thought of the Week—*The AI In Between*: We are somewhere in between AI's economic and labor impacts having emerged but not yet fully realized. Generative AI is operating at a speed and scale that would have seemed implausible only a few years ago. The occupational mix has begun to be disrupted, without causing widespread displacement of entire job categories. Accordingly, the multiyear runup in business formation activity highlights the U.S. economy's capacity to adapt and generate new forms of work amid technological disruption. Long-run AI driven productivity gains hinge on the buildout of U.S. infrastructure, which should benefit technology hardware, data centers build outs, network infrastructure, power grid modernization, and related electrical and cooling systems.

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Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs, and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

MACRO STRATEGY

AI and Creative Destruction

Chief Investment Office, Macro Strategy Team

As the world approaches the singularity point where machine intelligence is poised to surpass human intelligence by orders of magnitude, the economy is being radically transformed. The increasing speed of this transformation implies the process of creative destruction is becoming more powerful. The realization that longstanding commercial franchises are unlikely to last as long as in the past because of this process has most recently impacted the valuations of software companies that are judged particularly vulnerable to creative destruction by AI.

AI is currently the focus of how technology will reshape the economy. It raises many of the same issues that prior technological innovation waves have created for humanity. When the industrial revolution began in the late 1700s, a process of replacing hand labor with machines began. In England, weaving machines replaced skilled craftsmen who wove by hand giving rise to the Luddite movement where protesting laborers began destroying the new machines with hammers. Concerns about their jobs, working conditions and incomes drove the protests. The term “Luddite” became synonymous with anyone who is opposed to new technology, automation and more modern working conditions. But in its broadest original sense, the protest movement anticipated the general set of changes that affect workers when creative destruction transforms the economy.

While the first phases of this process mainly hit workers who produce goods, AI is much more impactful for the knowledge workers who have prospered during the digital information age of the past 60 or 70 years. Software programmers are the weavers of our current time. Knowledge workers in general are most vulnerable to AI’s creative destruction potential, while certain “hands-on” professions are relatively insulated. That said, the transformation coming from AI and digital technology in general is impacting much more than just knowledge workers as we have already seen in places like the automotive and agricultural industries, for example.

While the laborers who were displaced by machines during the industrial revolution were able to move into new and growing service industries, allowing the economy to keep expanding and unemployment to stay low while incomes and living standards rose, with the higher productivity that comes from technological progress, there are major doubts about where the jobs and incomes will come from if AI is eventually able to do everything that workers do today. These same doubts have been around ever since the Luddites, yet the progress that follows rising productivity and new technologies has always created new industries that provide incomes for labor.

However, one of the consequences of digital technology has been an increasing share of income going to the owners of capital and a declining share to labor (Exhibit 1A). AI is likely to exacerbate this trend even more. The growing share of capital as opposed to labor income is also implicit in the rising level of wealth relative to income. Since the 1960s the ratio of household wealth to income has risen from around five times to about eight times (Exhibit 1B).

An important implication of this transition from most labor income to mostly capital income is a need to broaden ownership of capital to mitigate the effects of a shrinking labor income share on the broader population. To some extent, this is already happening, at least in the U.S., where there is much wider ownership of Equities compared to most other economies. Without policies to make the ownership of capital and its growing income share more widespread, political polarization and instability are likely to increase as we have seen in recent years.

To some extent, this process of widening capital ownership is already under way, for example, with sovereign wealth funds like that in Norway, which surpassed a record value

Investment Implications

Diversification and market indexation may provide some defense in a world where accelerating creative destruction may shorten the lifespan of companies.

of $2 trillion in early 2026, representing several hundred thousand dollars per Norwegian. Starting Individual Retirement Account (IRA) saving programs at birth is also a new policy idea to address this issue. Employee ownership of firms (ESOPs) is another approach that's been around for a while. A key issue for these programs is how to guard the integrity of these plans from the possible corrupting influence of politicians. In any event, without these policy attempts to broaden ownership of an economy with a shrinking labor share of income, political tensions are likely to continue to rise.

For investors, the growing share of capital income is a plus, but the accelerating pace of technological change creates uncertainties, as it can shorten the lifespan of companies they own as obsolescence comes sooner and creative destruction becomes more widespread.

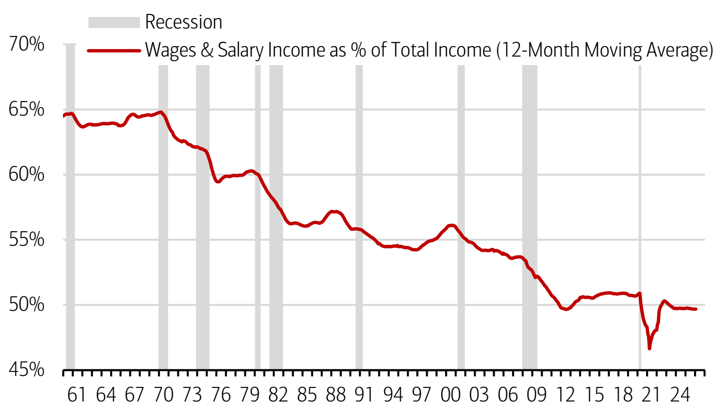
While diversification is useful for many reasons, heightened uncertainty about the duration of a particular company's business model adds to the attractiveness of more eggs in the portfolio basket. It also makes diversifying across sectors and industries potentially more helpful.

The speed with which new companies are born and die is faster in a world with accelerating creative destruction. The constituents of market indexes like those for the S&P 500 are always changing as companies go through life cycles; as the victims of creative destruction fall out of the index, the new successful innovators come into the index as their businesses grow. This provides a bit of a dynamic hedge against the creative destruction process.

While past innovation waves have always paved the way for new jobs to replace the old ones, AI is likely to bring especially radical changes to society and the labor market. For one thing, its creative destruction is focused on the knowledge workers who were beneficiaries of the earlier innovations displacing workers in goods-producing and manufacturing industries. For another, it's clear that digital technology has fostered a trend toward a diminishing labor share of the economic pie. AI has the potential to put that trend on steroids in our view. If so, this implies a policy debate needs to focus on ways for the general population to share in the abundance that this technological progress makes possible.

Exhibit 1: Capital Income Rising Compared to Labor Income in the Digital Age.

A) Bigger Capital Income Share as Labor Share Shrinks.



B) More Capital Relative to Income As Economy Grows In Digital Age.

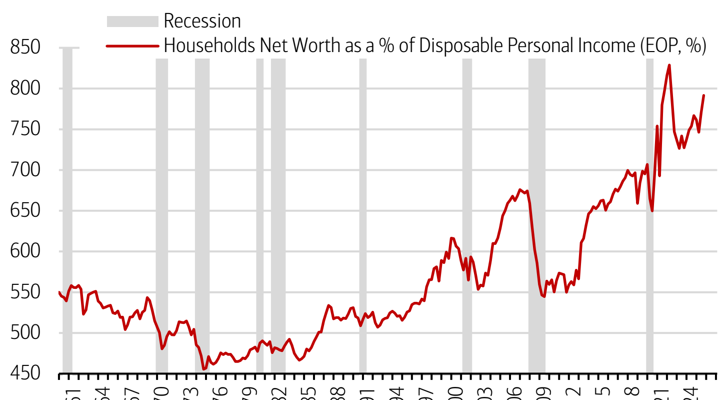


Exhibit 1A) Sources: Bureau of Economic Analysis/Haver Analytics. Data as of March 13, 2026. Exhibit 1B) Sources: Federal Reserve Board/Haver Analytics. Data as of January 9, 2026.

MARKET VIEW

China's Five-Year Plan: Local Stability Amid Global Uncertainty

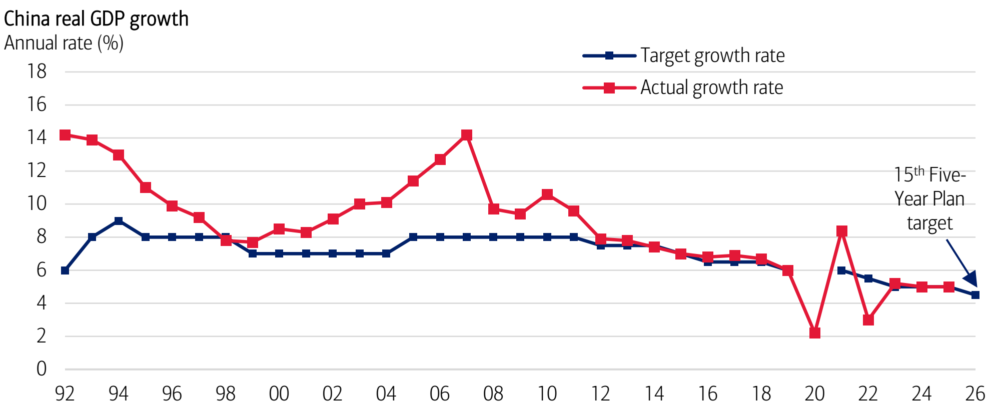
Ehiwario Efeyini, Director and Senior Investment Strategist

Throughout the conflict-driven volatility of recent weeks, China's equity market has been among the most stable of the major global benchmarks. Despite being the largest net importer of energy by volume, China has remained more insulated from the turbulence in oil and gas markets than most other economies in Asia. Its large oil stockpiles, estimated at around 1.2 billion barrels (at least three times the amount pledged for release by the International Energy Agency) cover three to four months of domestic supply. And the diversification of its energy sources away from imported fossil fuels in transportation and electricity generation has further shielded China's economy from the current energy shock. At just over 40% of EM GDP, close to 30% of EM market capitalization and as the largest trading partner for the majority of emerging economies, China remains the economic anchor for the emerging world.

Above all else, China's leadership prioritizes economic and, ultimately, social stability. And against the backdrop of conflict uncertainty in the Middle East, China's 15th Five-Year Plan—initially adopted last October—was formally approved this month at the conclusion of its annual National People's Congress. China's five-year plans are the principal framework for the strategic aims of its leadership and the main guidepost for its economic direction, setting national priorities over the medium term. And they highlight the sectors and industries to which China authorities are committing the most resources at the national and provincial level through both state-owned enterprises and private companies. For the 15th Five-Year Plan, these priorities span the remainder of the current decade from 2026-2030.

In terms of the aggregate macroeconomy, the latest five-year plan sets a growth target for China of 4.5% to 5%—the lowest since the 1990s (Exhibit 2)—while still aiming to double per capita GDP from 2020 levels by 2035, which would raise it to over $20,000.

Exhibit 2: China's Trend Economic Growth Rate Continues to Decline.



Sources: National Bureau of Statistics; Bloomberg. Data as of 2026. Growth target shown is the lower bound when set as a range.

Without setting an explicit target, the Plan also has a stated objective of directly increasing the rate of household consumption, which at 40% of GDP remains well below the 55% to 60% typical of higher-income economies. Nonetheless with the growth rate of per capita income likely to slow in line with GDP, this will require a lower household savings rate even against the backdrop of an ongoing slump in property prices, a lackluster labor market and weak consumer confidence. Increased fiscal spending on public services and social welfare is expected to be a key driver here, with specific initiatives in the Plan to widen access to healthcare, pensions and insurance, as well as to expand paid leave and strengthen consumer rights protections.

But beyond absolute growth rates, the main focus of the Plan is the composition of China's economic activity over the next five years (Exhibit 3). On natural resource consumption, the 15th Five-Year Plan period is expected to mark the peak in consumption of oil and coal by 2030 on the way to net zero emissions by 2060. And a projected 17% reduction in carbon dioxide emissions per unit of GDP further reinforces the view that China will become a much smaller driver of global fossil fuel demand over the years ahead, just as its impact on global demand for industrial metals has diminished with the structural decline of its traditional

Investment Implications

Despite a range of both internal and external challenges in the current environment, we expect China's local equity market to stay relatively insulated, remaining an anchor for the wider EM benchmark. And even as its headline rate of economic growth decelerates further, China's pace of development and adoption in new technologies should remain high, reducing its dependence on foreign suppliers and boosting its local technology-linked market segments.

growth engines of real estate and construction. This also underlines China's relative insulation from current and future energy shocks given its increasingly diversified energy mix.

Exhibit 3: China's 15th Five-Year Plan—Key Strategic Economic Aims.

Key targets under China's 15th Five-Year Plan (2026 to 2030)			
Category	**Indicator**	**2025 baseline**	**2030 target**
Macroeconomy	Real GDP growth (%)	5	4.5 - 5
	Productivity growth (%)	6.1	> GDP growth
	Per capita disposable income growth (%)	5	In line with GDP growth
	Urbanization rate (%)	67.9	71
Innovation	Annual growth of research & development (R&D) expenditure (%)	9.1	>7
	High value patents (per 10,000 people)	16	> 22
	Value-added share of digital industries in GDP (%)	10.5	12.5
Decarbonization	Reduction in carbon emissions per unit of GDP (%)	17.7	17
	Non-fossil fuel share in total energy consumption (%)	21.7	25

Sources: National People's Congress, Chief Investment Office. Data as of 2026.

Technological improvement has now been a multiyear priority for China's leadership, but it remains at the center of the 15th Five-Year Plan. And this latest iteration in fact reaches a high watermark for emphasis in these domains, with the terms "scientific and technological innovation" and "high-quality development" mentioned more times in the official text than in the last two plans combined. This also comes alongside the new term "technological self-reliance." China's strategic aim to reduce its technological dependence on the rest of the world and become more self-sufficient has only been reinforced in recent years by pandemic supply chain disruptions, rounds of U.S. semiconductor export controls and now the risks to energy supply emanating from the conflict in the Persian Gulf. The government, in its latest five-year plan, aims to increase its overall national R&D spending by an average of at least 7% each year over the next five years. And it also proposes raising digital economy industries to a 12.5% value-added share of GDP by 2030, up from 10.5% at the end of the 2021 to 2025 period.

At its core, this means moving further up the output value chain by boosting investment in advanced manufacturing, implying that competitive pressures on European manufacturers are likely to persist in key areas such as electric vehicle production. And crucially it also means investing more into strategic technologies such as semiconductors, quantum computing, next-generation 6G telecommunications networks, biotechnology and AI which could ultimately also reduce its dependence on the U.S. and its allies for the most advanced chips and leading-edge chip manufacturing equipment.

For China's domestic economy, the Plan also includes an "AI-plus" initiative to integrate AI across a range of sectors including manufacturing, mining, chemicals, textiles, logistics and healthcare. The aim here is to modernize these traditional industries with the stated goal of reaching penetration rates of 70% by 2027 and 90% by 2030. This should also boost China's local Information Technology hardware and equipment makers, as well as its leading internet companies and local startups as open-source models and applications are adopted both within China and across other emerging economies.

China still faces a range of internal challenges from its maturing economy, still weak household consumption, persistent drag from the property sector and deflationary pressures from industrial competition; in addition to external challenges from trade and technology restrictions, supply-chain vulnerabilities and most recently conflict-induced risks to its energy supply. But reinforced by the economic direction outlined in its latest five-year plan we nonetheless expect China's local market to stay relatively insulated from these headwinds, remaining an anchor for the wider EM benchmark. And even as its headline rate of economic growth decelerates further, China's pace of development and adoption in new technologies should remain high.

THOUGHT OF THE WEEK

The AI In Between

Lauren Sanfilippo, Director and Senior Investment Strategist

Before reaping the full economic benefits and employment consequences of AI we are currently in an "in between" period. At a speed and scale thought implausible just a few years ago, generative AI drafts text, writes code, analyzes data, generates visuals, and automates routine cognitive tasks. Generally, this has led firms to employ and embed AI into workflows without a significant contribution to joblessness. The Census Bureau finds that over 94% of firms using AI have not reduced headcount.

At least not yet. Roles at acute risk of disruption include customer support, paralegal work, content generation and data entry, according to Anthropic analysis.[1] That adds up, considering the higher levels of task automation in those roles. But to borrow a line from Jensen Huang, Nvidia's CEO, AI won't take jobs; the people who leverage AI better than you will. And so, we are living through an "AI in between" moment, an intermediate phase in which task automation within existing jobs and is advancing faster than the creation or elimination of job categories. Future roles could emerge that didn't exist before large-scale AI model deployment, including prompt engineers, AI compliance officers, model risk managers and digital worker supervisors.

Already, the occupational mix has shifted over the past three years at a pace comparable to the periods following two major technological inflection points: the commercial computer era and Internet era (Exhibit 4A). Measured differently, business creation has structurally moved higher in recent years and likely remained higher with the advent of AI as a contributing factor. The Census Bureau shows business formation (measured by employer identification numbers) has surged during the pandemic and since remained relatively elevated (Exhibit 4B). That point underscores the entrepreneurial DNA of the U.S. economy, with small business startups a long-time job generator.

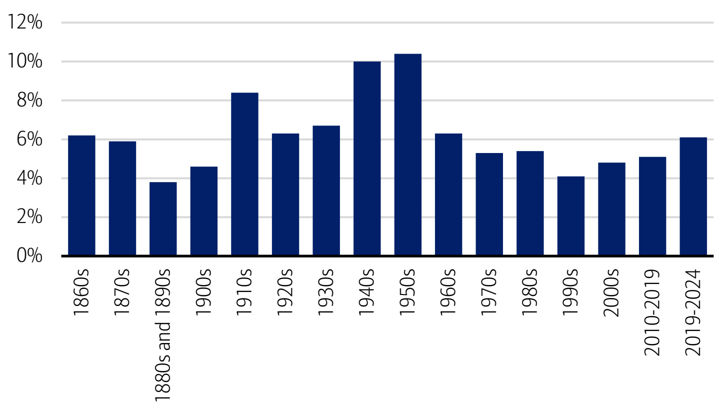
The bottom line being, AI's impact is now observable rather than hypothetical, but its full implications have yet to materialize. Future iterations will challenge these assumptions on the labor market, but the bottom line is this: Labor is being reconfigured as AI becomes more embedded in the U.S. economy.

Investment Implications

Realizing AI-driven productivity gains depends on the buildout of foundational AI infrastructure. Accordingly, we would align investment positioning with long-cycle capital spending across technology hardware, power grid modernization, electrical and cooling equipment, data centers, and network infrastructure.

Exhibit 4: Job Genesis Afoot as Business Formation Surges.

A) Rate of Change of Occupational Mix by Decade.



B) Weekly Business Applications in Thousands, Seasonally Adjusted (4-week moving average).

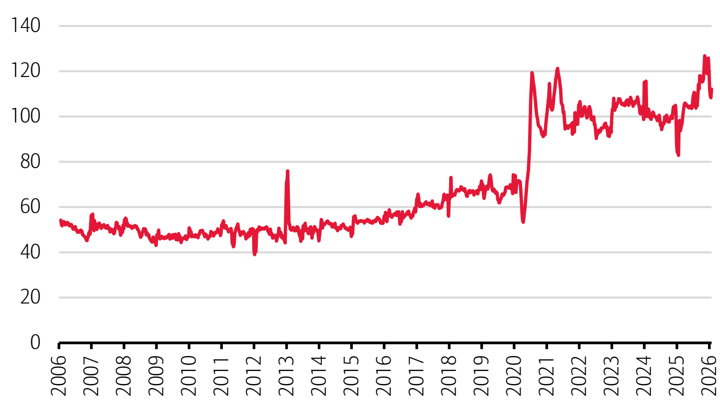


Exhibit 4A) Source: Hamilton Project, Brookings Institute. Bars represent rate of change across occupational sectors, by decade or by decadalized rate for non-decade time periods. Data as of 2024. Exhibit 4B) Sources: Census Bureau, Haver Analytics. Data as of March 2026.

[1] Anthropic Research, "Labor market impacts of AI: A new measure and early evidence," March 5, 2026

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Asset Class Weightings (as of 3/4/2026)

Asset Class	Underweight		CIO View / Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity					
Private Credit					
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View / Neutral	Overweight	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Information Technology			●		
Healthcare			●		
Materials		▶	●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●	◀		
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 3/20/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.5*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	0.7	2.1*	3.3	3.0	2.0	2.0	2.7
CPI inflation (% y/y)	2.7	2.7*	2.8	4.0	3.5	3.2	3.3
Core CPI inflation (% y/y)	2.7	2.9*	2.5	2.8	2.6	2.6	2.6
Unemployment rate (%)	4.5	4.3*	4.4	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of March 20, 2026.
Sources: BofA Global Research; GWIM ISC as of March 20, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	45,577.47	-2.1	-6.8	-4.8
NASDAQ	21,647.61	-2.1	-4.4	-6.7
S&P 500	6,506.48	-1.9	-5.3	-4.7
S&P 400 Mid Cap	3,296.29	-1.3	-7.7	0.0
Russell 2000	2,438.45	-1.7	-7.3	-1.5
MSCI World	4,244.09	-2.0	-6.8	-4.0
MSCI EAFE	2,840.61	-2.1	-10.5	-1.5
MSCI Emerging Markets	1,463.33	-0.3	-9.0	4.5

Commodities & Currencies

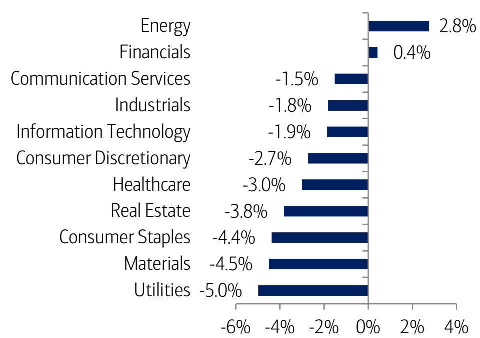
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	340.42	-0.5	10.4	23.2
WTI Crude $/Barrel††	98.32	-0.4	46.7	71.2
Gold Spot $/Ounce††	4492.42	-10.5	-14.9	4.0

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.16	1.14	1.18	1.17
USD/JPY	159.23	159.73	156.05	156.71
USD/CNH	6.91	6.91	6.86	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.56	-0.46	-2.38	-0.78
Agencies	4.28	-0.41	-1.36	-0.15
Municipals	3.67	-0.49	-1.92	0.23
U.S. Investment-Grade Credit	4.66	-0.51	-2.38	-0.68
International	5.22	-0.27	-2.63	-1.20
High Yield	7.46	-0.31	-1.51	-0.82
90 Day Yield	3.70	3.68	3.66	3.63
2 Year Yield	3.90	3.72	3.37	3.47
10 Year Yield	4.38	4.28	3.94	4.17
30 Year Yield	4.94	4.90	4.61	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/16/2026 to 3/20/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 3/20/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 16, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Portfolio Construction in the Age of Industrial Geopolitics:* Current geopolitical tensions add support to our high-conviction theme of aerospace and defense. But it is time to reframe and widen the lens when it comes to investing in defense. Modern defense is no longer just missiles, tanks and large defense contractors. Rather, it is an entire industrial ecosystem—ranging from rare earth minerals to semiconductor fabs to satellites and undersea cables to Artificial Intelligence (AI) and digital infrastructure. Industrial geopolitics is about governments taking ownership in strategic mining and materials firms; export restrictions on advanced chip technologies and public sector incentives to increase domestic chip production; the militarization of space, with control of orbital infrastructure, an emerging component of geopolitical power; and protecting and monitoring undersea fiber optic cables given their fragile but crucial role in transmitting vital information. Industrial geopolitics also requires understanding the industrial battlefield and a rethink around risk, opportunity and portfolio construction. Think greater demand for digital infrastructure, logistics, AI, robotics, industrials and commodities. All of this speaks to the overlap between national security and industrial capacity. What is being forged is a new era of industrial geopolitics. Buckle up.

Market View—*The Stagflation Scenario:* The recent geopolitical flare-up has raised concerns about stagflation—a challenging situation that entails rising inflation and stagnant economic growth. Stagflation is not our base case, but the potential scenario bears monitoring as dynamics evolve. While the 1970s and early 1980s serve as a cautionary tale of stagflation's potential impact on markets and the economy, investors should keep in mind that the U.S. economy is far more resilient today. Structural improvements, strong fundamentals and a shift toward energy independence should help buffer against energy shocks. While a prolonged conflict could still elevate upside risks to inflation and downside risks to growth, the U.S. is entering this period of geopolitical uncertainty from a position of relative strength. From a portfolio positioning perspective, we believe investors should maintain well-diversified portfolios to weather uncertainty.

Thought of the Week—*One Key Lesson of the War: The World Still Runs on Fossil Fuels*: Much of the world's energy investment has been dominated by renewables in recent years, but if we've learned anything in the past few weeks it's this: The world still runs on fossil fuels. From shampoo and smartphones to tires and toothpaste—oil and its derivative chemicals ("petrochemicals") are the building blocks behind basically every material and product out there. Same with natural gas and agricultural fertilizer (and, thus, global food supplies). Perhaps less appreciated too is the relationship between fossil fuels and energy-intensive supply chains of a wide range of technological inputs and infrastructure (semiconductors, electric vehicles (EV) batteries, data centers, etc.). Markets in Europe and Asia tend to be more vulnerable, but the inconvenient truth is that oil and gas, and its many derivatives, fuel global growth. Growth estimates for this year have yet to be marked down, but the longer the conflict lasts, the greater the risk to global growth and earnings estimates.

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Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs, and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

MACRO STRATEGY

Portfolio Construction in the Age of Industrial Geopolitics

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Current geopolitical tensions only add support to our high-conviction theme of aerospace and defense. In a world where might makes right, we continue to prefer Large-cap global defense leaders.

But that said, it is time to reframe and widen the lens when it comes to investing in defense. Modern defense is no longer about just missiles, tanks and large defense contractors. Rather, it's about an entire industrial ecosystem—ranging from rare earth minerals to semiconductor fabs to satellites and undersea cables to AI and the digital infrastructure.

Consider a single modern fighter aircraft. It contains thousands of semiconductors, advanced composite materials, rare-earth magnets, high-performance alloys, precision sensors and complex software systems, including AI. Each of those components depends on supply chains stretching across mining operations, chemical processing facilities, semiconductor fabs and data-analytics companies. In other words, modern weapons are only the visible tip of a far deeper industrial pyramid supporting defense spending.

Defense as Industrial Policy. We now live in a world where geopolitical strengths are dependent and determined by one's collective industrial capabilities. National security increasingly encompasses the entire industrial network of an economy.

In this network, **mining firms** provide critical minerals and metals like rare earth elements, lithium, cobalt, copper, titanium and nickel that are essential inputs for electronics and advanced military technologies. **Materials companies** produce basic materials like steel, aluminum, carbon composites and specialized alloys for armored vehicles, shipbuilding and missile systems. As the central nervous system of modern defense systems, **semiconductors** power AI, encryption, satellite guidance systems and precision weapons systems. **Satellite and space networks** provide global positions systems (GPS) navigation, secure communications and surveillance capabilities no modern military can live without. And **undersea fiber-optic cables**—that now transmit over 90% of global internet traffic—carry the information that modern warfare depends on.

You get the picture—defense spending now spills into almost every sector of the economy as governments around the world adjust to a number of geopolitical fault lines. These include Russia's invasion of Ukraine, the expanding war in the Middle East, and the great power rivalry between the world's two largest economies: the U.S. and China.

From a policy perspective, industrial geopolitics is about governments taking ownership in strategic mining and materials firms; it's about export restrictions on advanced chip technologies and the public sector incentives to increase domestic chip production; it's about the militarization of space, with the control of the orbital infrastructure a rapidly emerging key component of geopolitical power; and it's about protecting and monitoring undersea fiber-optic cables given their fragile but crucial nature in transmitting the globe's vital information on virtually everything.

In a nutshell, industrial geopolitics is about more government activism in the private sector, requiring investors to be acutely aware of what sectors/companies are tied or not to government incentives and spending when it comes to defense outlays. It also requires an understanding of the industrial battlefield.

Comparing Industrial Ecosystems. In the era of industrial geopolitics, the leaders by sector/function are concentrated among a few nations, with the U.S. and China at the forefront. As Exhibit 1 outlines, China dominates in the processing of critical metals and materials and holds a decisive lead in the global manufacturing of ships, heavy machinery and steel over the U.S., Japan and other industrialized nations.

Portfolio Considerations

We've long emphasized defense as one of our key themes. Beyond Large-cap defense leaders, key beneficiaries include semiconductors, critical minerals, cybersecurity, energy infrastructure, and robotics and automation. We remain overweight Industrials given a multi-year capital expenditures (capex) cycle, aerospace backlogs, higher power demand, and more defense spending in the U.S. and globally.

RETURN TO FIRST PAGE

America's strengths lie with semiconductors—advanced chips and chip designs, in addition to the digital infrastructure that includes cloud computing, data centers and telecommunication networks. The U.S. also leads in the space (satellites and GPS networks) and AI and software. China, however, is making rapid gains in both space technology and AI—and is hyper-focused on building out its military platform.

Other notable mentions when it comes to industrial ecosystems include Taiwan and South Korea, leaders in chip fabrication, and Japan (robotics). A semiconductor company in the Netherlands dominates in lithography equipment.

Investment implications. For investors, the emergence of industrial geopolitics requires a rethink about risk, opportunity and portfolio construction. Some key takeaways include the following:

- Defense spending—whether in the U.S. or overseas—no longer benefits only traditional weapons manufacturers. It also drives demand across various technology capabilities, industrial manufacturing and the digital infrastructure.
- National strategic objectives favor more government support, subsidies and regulatory protection in such sectors as semiconductors, critical minerals, advanced materials and manufacturing, satellites and space, cybersecurity, energy infrastructure, and AI.
- Industries that support supply-chain resilience—logistics, AI, robotics and industrial automation—should be main beneficiaries of industrial geopolitics.
- Industrials, in general, will likely be large beneficiaries on account of longer, multiyear capex cycles.
- Commodities and materials remain attractive and remain in long-term bull cycle.
- In the emerging markets, South Korea, Taiwan and China technology companies remain attractive.

All of the above speaks about the overlap between national security on the one hand and industrial capacity on the other. What is being forged is a new era of industrial geopolitics. Buckle up.

Exhibit 1: The Industrial Battlefield Map.

Layer of Industrial Power	Strategic Assets	Current Global Strength
Critical Minerals & Processing	Rare earths, lithium, cobalt refining, battery minerals	China dominant in processing and refining; U.S. and allies trying to diversify supply through Australia, Canada, Africa
Industrial Manufacturing Base	Steel, shipbuilding, heavy machinery, precision manufacturing	China largest manufacturing base in the world; U.S., Japan, and Germany strong in high-end manufacturing
Semiconductors	Advanced chips, chip design, lithography equipment	U.S. leads in design: Taiwan and South Korea lead in fabrication; Europe dominates lithography equipment
Digital Infrastructure	Cloud computing, data centers, telecom networks	U.S. leads in cloud, software platforms and digital ecosystems
Satellites & Space Launch	Launch vehicles, satellite constellations, GPS networks	U.S. leads in commercial space and satellite networks; China rapidly expanding
AI & Software	AI models, machine learning, cyber capabilities	U.S. currently leads though China investing heavily
Military Platforms	Naval fleets, aircraft, missiles, defense systems	U.S. dominant globally; China rapidly expanding naval and missile capacity

Source: Chief Investment Office. Data as of March 12, 2026.

MARKET VIEW

The Stagflation Scenario

Emily Avioli, Vice President and Investment Strategist

The latest geopolitical flare-up has introduced a new set of potential headwinds for markets. Chief among them is the risk that a sustained rise in energy prices could rekindle inflation while weighing on the economic expansion. Seasoned market observers have been quick to raise the specter of stagflation—the toxic duo of rising prices and stagnant growth. Such an environment presents a policy dilemma: easing monetary policy to support growth risks fueling inflation, while tightening policy to contain prices could further restrain economic activity. A challenging backdrop for investors, indeed.

Stagflation is not our base case. The medium-term growth outlook has not been materially altered by the conflict in the Middle East, consumer fundamentals are broadly healthy, productivity trends remain sound, and U.S. economy today is far more resilient to energy shocks than in past decades. Still, the widely dreaded stagflation scenario warrants a closer look as geopolitical dynamics evolve.

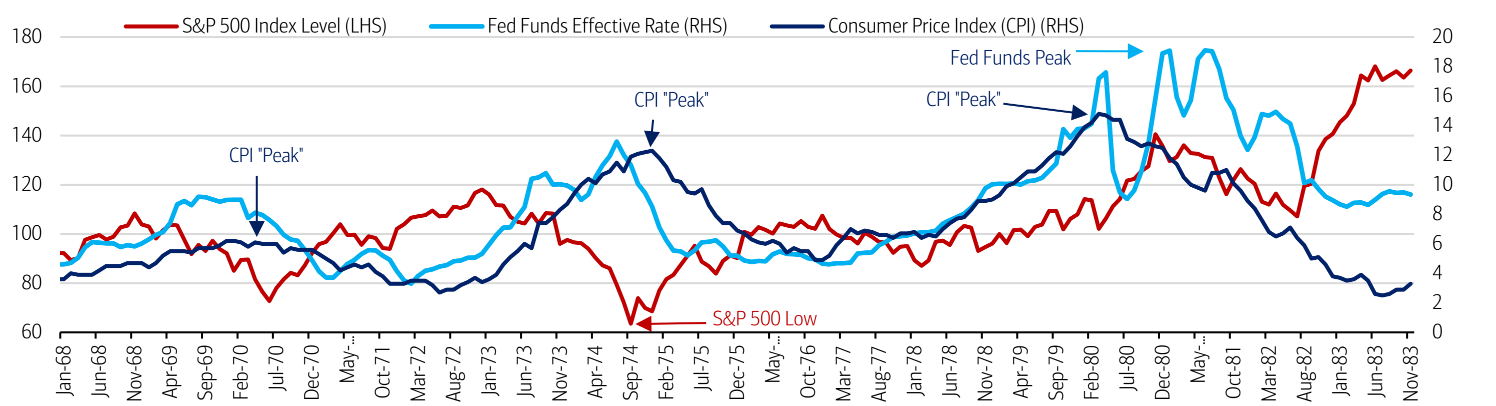
Back to the ’70s. The 1970s and early 1980s offer a cautionary tale of stagflation’s potential economic and market impact. That period was defined by a damaging mix of persistently high inflation and weak growth, compounded by repeated supply shocks and an initially inadequate policy response. The 1973 Organization of the Petroleum Exporting Countries oil embargo sharply raised energy costs and squeezed household purchasing power, contributing to slowing growth and rising unemployment. The shock was compounded several years later by the 1979 Iranian Revolution, which disrupted global oil supplies and pushed energy prices higher once again. Inflation soared at a time when economic momentum was already fragile. Policymakers struggled to contain rising prices without deepening the economic slowdown, and inflation expectations became entrenched.

Inflation ultimately peaked three separate times over the course of 10+ years before being brought under control in the early 1980s, creating a difficult backdrop for financial markets. Notably, the S&P 500 bottomed out in 1974, almost six years before the final peak in inflation and almost seven years before the peak in rates (Exhibit 2). Small-caps outperformed Large-caps on an annualized basis throughout the 1970s, and Value saw strong returns relative to Growth.[1] Persistent inflation generally eroded real returns on Fixed Income. Real Assets like gold and commodities enjoyed relatively strong performance, with the Bloomberg Commodity Index seeing an annualized gain of 24.0% over the course of the decade.[2]

Investment Implications

The latest geopolitical conflict has introduced a number of potential headwinds for markets and the economy. During times of elevated uncertainty, staying well diversified and committed to a long-term financial plan can be a good course of action.

Exhibit 2: Equity Performance Against the Stagflation Backdrop.



Source: Bloomberg. Analysis data includes through December 31, 1983, as of March 12, 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

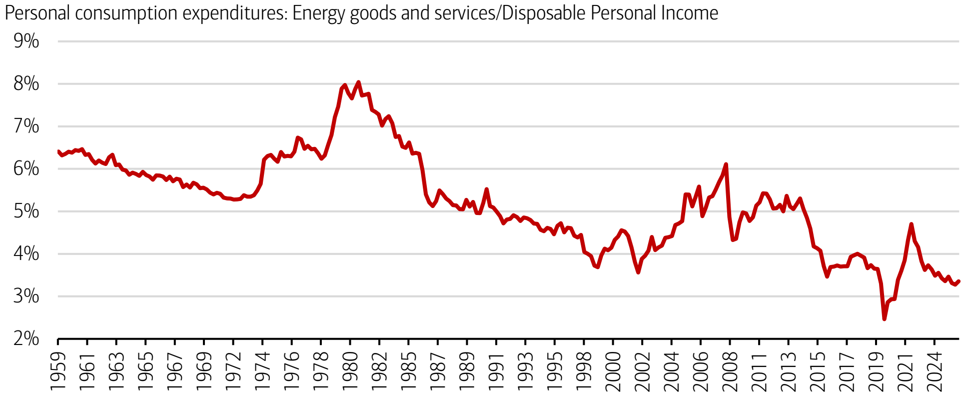
Fast Forward to 2026. Today’s economic landscape looks fundamentally different from that of the 1970s. Structurally, the U.S. economy is far less vulnerable to the type of self-reinforcing price pressures that defined that era. A shift toward energy independence is among the most notable improvements. Whereas the U.S. was once heavily reliant on

[1] BofA Global Research. March 3, 2026.

[2] Bloomberg. Annualized data from December 31, 1969 – December 31, 1979 referenced.

imported oil, it is now a net exporter of energy, providing an important buffer against global energy price shocks. Consumers may also be better positioned to withstand rising energy prices today—energy spending currently accounts for 3.0% of personal income, which is less than half of the average level observed in the 1970s (Exhibit 3). Inflation expectations today also remain relatively well anchored, helping to reduce the risk of the wage-price spiral that helped sustain the rapid pace of price increases during the stagflation era.

Exhibit 3: Energy Spending Is A Lower Percentage Of Disposable Income Compared To Decades Past.



Source: U.S. Bureau of Economic Analysis, Federal Reserve Bank of St. Louis. Quarterly data as of December 31, 2025.

Importantly, the geopolitical conflict is unfolding at a time when inflation pressures have already eased considerably from the mid-2022 peak. The CPI advanced by 2.4% year-over-year (YoY) in February, in line with expectations and just above the Federal Reserve's 2.0% inflation target.[3] While a sustained rise in energy prices could slow progress on disinflation—particularly if the conflict proves prolonged—the structural backdrop suggests the U.S. economy is better positioned to absorb such shocks.

On the growth side of the equation, economic fundamentals remain supportive. In February, the labor market exhibited some signs of cooling following several months of stabilization, with nonfarm payrolls posting a weather-related decline, and the unemployment rate edging up to 4.4%.[4] Nonetheless, the labor market remains well above recessionary territory. Consumers remain healthy in aggregate, with Bank of America Institute data showing credit and debit card spending rising by 3.2% YoY in February—the fastest pace in over three years.[5] Recent Institute for Supply Management data suggests that manufacturing is entering a long awaited upswing in the U.S. S&P 500 earnings-per-share are advancing at a double-digit YoY pace and corporate margins remain resilient. Plus, a multi-year technology driven capex cycle is well underway and continued AI adoption and integration is expected to meaningfully boost productivity moving forward.

To be sure, a prolonged conflict that drives oil prices significantly higher for longer could still weigh on economic growth and present upside risks to inflation. However, the U.S. economy is entering this period of geopolitical uncertainty from a position of relative strength. For now, fundamentals remain supportive, and we continue to expect U.S. real GDP growth of approximately 2.8% in 2026.[6]

Conclusion. While the stagflation scenario is not our base case, the risk bears watching considering all the various crosscurrents in the global economic landscape. The upshot: The U.S. economy is structurally stronger and far better insulated from energy shocks than it was in decades past. For investors, the key takeaway is that worries about spillover effects from the latest geopolitical conflict should not derail a long-term financial plan. Maintaining diversification and staying invested during times of volatility remain reliable strategies for navigating periods of uncertainty.

[3] Bureau of Labor Statistics. March 11, 2026.

[4] Bureau of Labor Statistics. March 6, 2026.

[5] Bank of America Institute. March 10, 2026.

[6] BofA Global Research. March 13, 2026.

THOUGHT OF THE WEEK

One Key Lesson of the War: The World Still Runs on Fossil Fuels

Ariana Chiu, Assistant Vice President and Investment Strategist

While much of the world's energy investment has been dominated by renewables (solar, wind, etc.) in recent years, if we've learned anything in the past few weeks it's this: the world still runs on fossil fuels. Per Exhibit 4A, oil, coal, and gas continue to account for 81% of energy consumption globally. That's not too far off from 86% at the start of the century.

Importantly, the world's dependency on fossil fuels goes well beyond crude oil itself. From shampoo and smartphones to tires and toothpaste—oil and its derivative chemicals ("petrochemicals") are the building blocks behind basically every material and product out there. Same with natural gas and agricultural fertilizer (and, thus, global food supplies). Perhaps less appreciated too is the relationship between fossil fuels and high-technology manufacturing: everything from mining and refining strategic minerals to manufacturing plastics and insulation to powering global logistics and construction requires fossil fuels. In other words, not only are oil and gas not a thing of the past, they're also integral to the energy-intensive supply chains of a wide range of technological inputs and infrastructure (semiconductors, EV batteries, data centers, etc.).

Markets in Europe and Asia tend to be more vulnerable than the U.S. given some combination of 1) their dependence on fossil fuels as net energy importers (Exhibit 4B), 2) a bias toward manufacturing/goods rather than services, and 3) concentrated exposure to specific industries (e.g., industrial manufacturing in Germany, semiconductors in Taiwan). Hence the divergence in market performance since the start of the war; whereas the S&P 500 had underperformed most international markets year-to-date through the end of February, the script has flipped since then with the S&P 500 leading Equities in Emerging Markets by 4%, Japan by 7%, and Europe by 5%.[7] By the same token, eventual de-escalation in the Middle East would be good news for these markets, in our view.

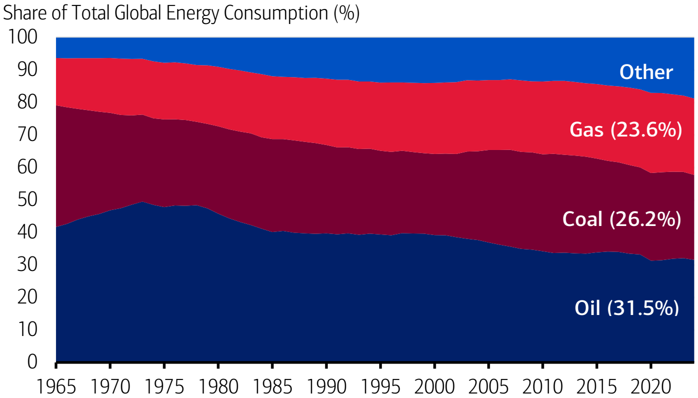
There's no doubt that the global economy is trending toward a more renewable energy mix. China has been the primary driver there, adding more solar and wind capacity than the rest of the world combined.[8] Yet even the world's renewable superpower is vulnerable to higher energy prices. The inconvenient truth is that oil and gas, and its many derivatives, fuel global growth. While growth estimates for this year have yet to be marked down, the longer the conflict lasts and the more disruption to supply chains, the greater the risk to global growth and earnings estimates.

Investment Implications

We believe U.S. and global growth this year can prove resilient but will hinge in part on the length and breadth of the conflict in the Middle East. Volatility is likely to continue in the near-term and with the timing of stabilization still unclear, we emphasize a balanced and diversified approach in portfolios. Longer-term, corporate profits should still be attractive against a backdrop of higher capital investment and productivity.

Exhibit 4: Comparing Energy Dependency in a World Run on Fossil Fuels.

A) Global Economy Still Dependent on Fossil Fuels.



B) Economies in Europe and Asia Are Net Energy Importers.

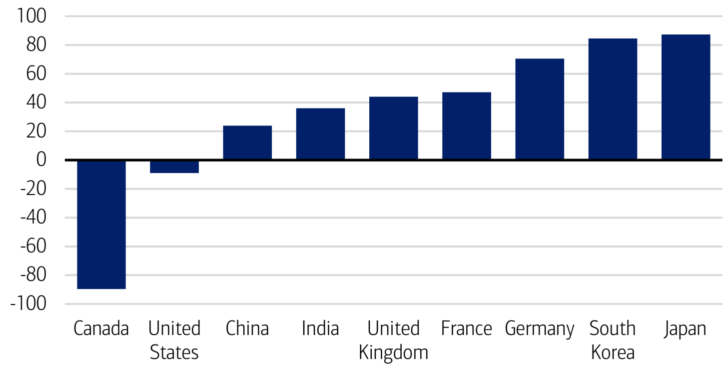


Exhibit 4A) Source: Energy Institute. Data as of March 2026. Exhibit 4B) Negative data indicates net energy exporter status. Source: International Energy Agency, World Bank. Data refers to 2023 or latest available year of data, as of March 2026.

[7] Refers to MSCI Emerging Markets Index, Nikkei 225 Index, and Stoxx 600 Index. In dollar terms. Data as of March 11, 2026.

[8] International Energy Agency as of October 2025.

MARKETS IN REVIEW

Asset Class Weightings (as of 3/4/2026)

Asset Class	Underweight		Neutral (CIO View /)	Overweight	
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Value	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	Underweight		Neutral (CIO View /)	Overweight	
Financials	•	•	•	•	●
Utilities	•	•	•	●	•
Consumer Discretionary	•	•	•	●	•
Industrials	•	•	•	●	•
Information Technology	•	•	●	•	•
Healthcare	•	•	●	•	•
Materials	•	▶	●	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•
Communication Services	•	●	◀	•	•
Energy	●	•	•	•	•

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 3/13/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.5*	-	-	-	-	3.6
Real U.S. GDP (% q/q annualized)	1.4	2.2*	3.3	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.7	3.6	3.1	2.9	3.1
Core CPI inflation (% y/y)	2.7	2.9*	2.5	2.8	2.6	2.6	2.6
Unemployment rate (%)	4.5	4.3*	4.4	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of March 13, 2026.
Sources: BofA Global Research; GWIM ISC as of March 13, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	46,558.47	-1.9	-4.8	-2.8
NASDAQ	22,105.36	-1.2	-2.4	-4.8
S&P 500	6,632.19	-1.6	-3.5	-2.9
S&P 400 Mid Cap	3,340.96	-2.0	-6.5	1.3
Russell 2000	2,480.05	-1.7	-5.7	0.1
MSCI World	4,329.54	-1.7	-4.9	-2.1
MSCI EAFE	2,901.06	-2.0	-8.6	0.6
MSCI Emerging Markets	1,469.47	-2.0	-8.7	4.8

Commodities & Currencies

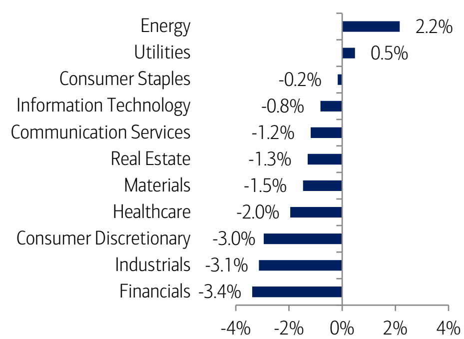
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	342.30	2.7	11.1	23.9
WTI Crude $/Barrel††	98.71	8.6	47.3	71.9
Gold Spot $/Ounce††	5019.49	-2.9	-4.9	16.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.14	1.16	1.18	1.17
USD/JPY	159.73	157.78	156.05	156.71
USD/CNH	6.91	6.90	6.86	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.45	-0.99	-1.93	-0.32
Agencies	4.13	-0.43	-0.95	0.26
Municipals	3.56	-0.68	-1.44	0.73
U.S. Investment-Grade Credit	4.53	-0.92	-1.88	-0.16
International	5.14	-1.44	-2.37	-0.94
High Yield	7.26	-0.77	-1.20	-0.51
90 Day Yield	3.68	3.66	3.66	3.63
2 Year Yield	3.72	3.56	3.37	3.47
10 Year Yield	4.28	4.14	3.94	4.17
30 Year Yield	4.90	4.76	4.61	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/9/2026 to 3/13/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 3/13/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Bloomberg Commodity Index is a broadly diversified commodity price index distributed by Bloomberg Index Services Limited.

Consumer Price Index is a key economic indicator that measures the average change over time in prices paid by consumers for a representative "basket" of goods and services, such as food, housing, transportation, and medical care.

MSCI Emerging Markets Index is a leading benchmark that tracks the performance of large and mid-cap stocks across 24-27 developing nations.

Nikkei 225 Index is the leading price-weighted stock market index for the Tokyo Stock Exchange (TSE), representing 225 top-rated, blue-chip Japanese companies.

STOXX 600 Index is a broad measure of the European equity market. With a fixed number of 600 components, the index provides extensive and diversified coverage across 17 countries and 11 industries within Europe's developed economies, representing nearly 90% of the underlying investable market.

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